Question 1: Solution

We will review each of the main risks identified, the analysis, and how the risks can impact on strategy.

Identify Risk	Analysis of Risk	Impact on Strategy
A power cut interrupted the transfer of customer data, resulting in some missing information on the new cloud-based server. **(1 mark)**	This results in incomplete customer data and therefore the data integrity is at risk. **(1 mark)**	This could result in the 'new customers per source' KPI being inaccurate or misrepresentative **(1 mark)**, restricting Green's ability to make appropriate strategic decisions regarding website investment and use of comparison sites. **(1 mark)**
A work experience student has been given full access to data, including sensitive data which only managers should have access to. **(1 mark)**	Inappropriate access rights could lead to an individual deliberately or accidentally amending data by not following the correct process or making an error **(1 mark)** and then data integrity will be at risk as data is not secure. **(1 mark)**	If data is intentionally or unintentionally amended, **(1 mark)** then this will impact management's ability to monitor how many customers have smart meters and meet the objective in relation to this. **(1 mark)**
No internal audit reviews have taken place on data in the past 18 months. **(1 mark)**	Without regular internal audit reviews, issues are less likely to be identified or investigated, **(1 mark)** undermining data integrity. **(1 mark)**	This will mean that rectifying actions are not occurring due to lack of audits on data picking up any issues. **(1 mark)** Future issues with the data could take place and could result in inaccurate KPIs being reported to management, who could make inappropriate decisions as a result. **(1 marks)**
All energy purchased through wholesalers gets classed as solar power, regardless of its source. **(1 mark)**	This results in Green being without the necessary accurate energy source data. **(1 mark)**	This will hinder Green's ability to determine an accurate split of renewable energy sources **(1 mark)** and therefore management will struggle to determine if energy has been sourced evenly to mitigate risk. **(1 mark)**
The employee survey may have a bug in the system which caused staff to click 'submit' several times before it completed. **(1 mark)**	Any corruption in software may result in data being altered or deleted. If employees had to click 'submit' a number of times, there is a possibility of duplicate data in the results spreadsheet, **(1 mark)** meaning the data lacks uniqueness. **(1 mark)**	The integrity of the results information is questioned due to possible duplicated data **(1 mark)** and would impact management's ability to determine if employee satisfaction has improved. **(1 mark)**

Question 2: Solution

We will review each of outputs and what further information is required.

Raw data extract

There are no employer pension contributions shown. **(1 mark)** The external auditor may wish to use this information to determine if pension contributions are correct for a sample of employees **(1 mark)** and currently, as there are no values, they would be unable to perform this area of audit work. **(1 mark)**

Blair Daniel has no payroll data other than an employee number of 59 and it is likely this has been an error and a new entry has been created with the correct details of Daniel Blair. **(1 mark)** The external auditor will need an accurate listing of active employees from the payroll listing in order to perform audit testing over individual transactions, **(1 mark)** which will not be possible if false or duplicate employees are included. **(1 mark)**

Prior to the external auditor commencing fieldwork, a data cleansing exercise **(1 mark)** must be performed on the raw data to ensure employer pension contributions are included and only current employees are listed. **(1 mark)**

Starters and leavers report

The report does not show the date which two employees left the business. **(1 mark)** The report is also a monthly summary for October 20X2, but shows a starter who joined the company on 4 September 2022. **(1 mark)**

The external auditor may look to use this report to test starters and leavers during the year and confirm that they have been correctly accounted for within the payroll records. **(1 mark)** If the report is unable to recognise starters and leavers in the correct period or includes missing data, **(1 mark)** then the external auditor will be unable to rely on this data for the purpose of audit testing. **(1 mark)**

The summary report should include leaving dates for departing employees. **(1 mark)**

Ahead of the external auditor commencing the audit, **(1 mark)** the report should be fixed to ensure only dates within the selected range are displayed. **(1 mark**) A review of all starters and leavers should be carried out **(1 mark)** to ensure that relevant starting and leaving dates have been recorded. **(1 mark)**

Number of employees per department

The total number of employees per the report is 329, whereas the total number of employees should be 340. **(1 mark)** The breakdown of employees per department also includes 28 employees classed as undefined. (**1 mark)**

The employee numbers may be used by the external auditor to assess payroll costs as well as check for any anomalies to prior years. **(1 mark)** If employee numbers are incomplete, **(1 mark)** then they will not be able to rely on these figures for the purpose of audit testing. **(1 mark)**

The difference in total employee numbers should be investigated and rectified to ensure that the underlying data is complete **(1 mark)** and the number of employees ties back to SPS total employees of 340. **(1 mars)**

Any employees who do not have a department assigned in the master data should be updated with a department **(1 mark)** to ensure that no employees remain undefined within the payroll system. **(1 mark)**